

PART TWO

Two papers about what we were measuring all along.

Daniela has shown us where the field disagrees and what distance is made of. I want to ask a narrower question: when the field could not agree, what exactly was it measuring?

CONTRACTOR, KUNDU & HSU (2003)

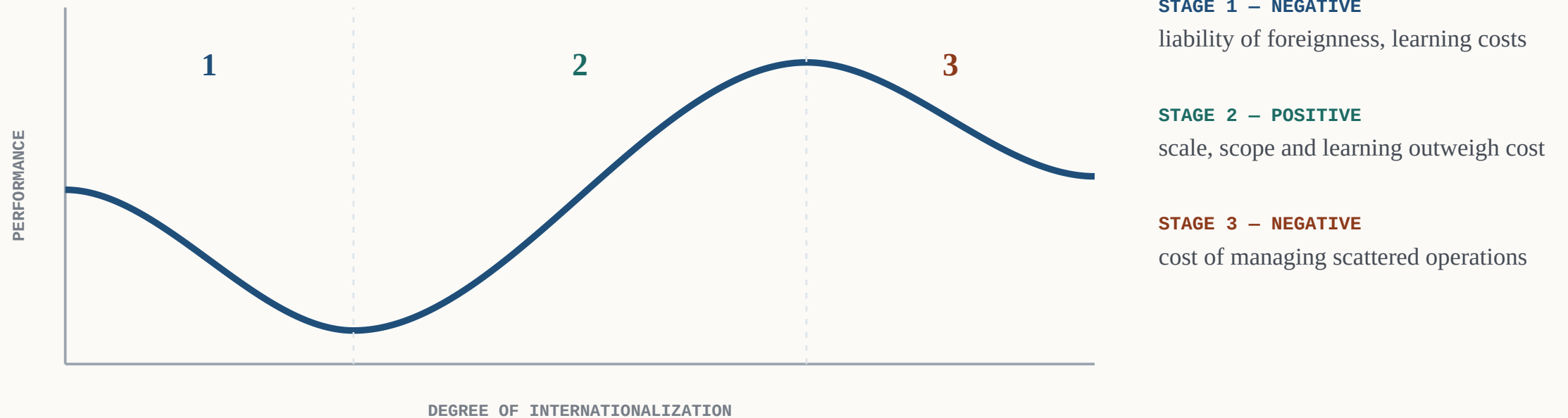
The curve that reconciles thirty years of contradiction

MEZIAS (2002)

The study that made progress by throwing the measure away

THEN THE CONCLUSION – WHAT ALL FOUR HAVE IN COMMON

Why the field disagreed for thirty years.



Sample only the middle and you report a positive linear relationship. Sample the ends and you report an inverted U. The disagreement was partly artefactual.

Nobody can tell when they have gone too far.

OVER-EXPAND MORE READILY

Knowledge-based services — advertising, market research, securities, publishing. Lower fixed-asset exposure, so one more market is easy to underwrite.

OVER-EXPAND LESS READILY

Capital-intensive — airlines, hotels, construction, retail. Fixed assets make each additional market an expensive commitment.

THEIR WORDS

“Few companies possess the managerial tools that would tell them when they have over-internationalized.”

If the relationship is sigmoid, “should we internationalise?” is the wrong question. “Where are we on the curve?” is the right one — and almost nobody can answer it.

He made progress by throwing the measure away.

Everyone agreed the liability of foreignness existed. Nobody could isolate it — because performance measures aggregate advantages and disadvantages into one number, and transfer pricing contaminates what is left.

HIS JUSTIFICATION — A METHODOLOGICAL ARGUMENT, NOT AN EMPIRICAL ONE

“While most performance measures aggregate advantages and disadvantages, labor lawsuits only measure labor-related disadvantage.”

486

foreign subsidiaries

486

matched US firms

\$600k+

average jury award

British, German and Japanese subsidiaries in the US, matched to US-owned firms in the same industries and cities. Then, within the foreign sample: staffing strategy, autonomy, affiliated firms, age.

He did not improve the measurement of performance. He abandoned it.

CONCLUSION

One diagnosis, four times.

At each stage the field measured the wrong thing — or measured one thing while believing it had measured another.

CONTRACTOR

measured segments of one curve, reported them as different relationships

MEZIAS

measured aggregate performance, believed it had measured foreignness

GHEMAWAT

measured market size, believed it had measured opportunity

ARREGLE

30 years, 220 studies, still “varied and at times incompatible findings”

SO WHAT FOLLOWS

Every one of them made progress by changing what was measured — not by collecting more of the same thing. A literature that cannot converge because it cannot agree on a measure has a methods problem, not a theory problem.

TWO THINGS TO LEAVE YOU WITH

Where this goes next.

ACROSS THE ROOM

Sumit K. Kundu of FIU is an author on both Contractor (2003) and Arregle (2021). Eighteen years apart, the same question about performance, still unresolved.

3 SEP · ENTRY MODE

If Stage 1 is negative, mode choice is a decision about how much of that cost to absorb at once.

24 SEP · INSTITUTIONS

CAGE is a pre-Hofstede way of saying what that session says with formal distance measures.

RESIDENCY 1

Firm-specific advantages are what carry a firm through Stage 1 at all.